

Debt Reduction

Keira raised her hand eager to answer Mike's question. "Reducing debt improves your credit."

"Right. Any other reason debt reduction is important when preparing to obtain financing?"

Another agent raised his hand.

"Yes?" Mike said, pointing to him.

"Well-it makes your debt-to-income ratio look better."

"Yes. Very good. Those are two things that are very important to lenders. On your buyer's side, the other benefit to reducing debt, of course, is that it makes it a whole lot easier to make that house payment if you don't have a student loan, a bunch of credit card debt, and a car payment to deal with."



Debt Reduction Benefits

- Improves credit
- Improves debt-to-income ratio
- Makes homeownership more affordable

"Now, can anyone think why debt reduction might actually *harm* your ability to obtain financing?"

No one had an answer for a moment, then an idea occurred to Keira, and she cautiously raised her hand. "Well-if you deplete your cash resources to reduce your debt, you can cut into your down payment."

"Exactly. And most lenders like to see at least two months' of cash reserves on top of that down payment, therefore reducing your cash reserves too low can harm your chances to get a loan, so debt reduction can be a bit of a tradeoff."

"Paying down your credit cards is a great idea. But paying off several and cancelling them, then keeping one with a high balance is worse than having several open cards with room on them in a lender's eyes. Here's why: lenders are going to look at available credit versus used credit. If all you've got left is one maxed-out card, that's going to look bad. It's better to pay them all down, and leave room-at least 33% on each card, if you can do so without depleting your cash reserves."

"Another thing you should know for your clients who already own their own home and have a home equity line of credit-a lender looks at a HELOC balance of less than \$50,000 as if it was another credit card with a large credit line. Making regular payments helps. Of course, getting a HELOC to pay off high interest credit cards can be a wise financial decision, but remember that borrowing money against equity in a home is a serious matter. You are using your home-likely your most important asset -as collateral, and that puts it at risk if you don't make your HELOC payments."

"The best way to reduce debt while maintaining cash reserves is to find money from somewhere else. This may be through reducing spending, getting a second job, increasing your deductions, or selling assets. Again, lenders like to see assets, so it's a tradeoff. There's also a credit score boost to managing some debt. If you're working with clients who are unsure of whether a move will be helpful or detrimental to their lending power, have them call me."



Debt Reduction Caveats

- Increase savings
- Budget
- Get funds from sources other than your down payment
- Lenders like to see 2 months of cash reserves
- Pay down credit card balances wisely
- Use HELOCs wisely

"Now, can you think of a way to improve your debt-to-income ratio without reducing your debt one penny?"

Someone called out, "Increase your income."

"That's right," said Mike. "Increase your income. Not everyone will be able to do this, but if it's possible, it should be done. And who doesn't want more money, right? A lender is going to want to see some longevity in whatever income you're claiming,

however. Getting a raise is helpful, but your clients will have to prove they're permanently employed-in other words, that their new salary will continue. Bonuses are nice, but they're not treated all that favorably by lenders because they're discretionary."



Two sides to debt to income ratio:

Debt: Decrease it without depleting reserves
or payment savings

Income: Increase it, and be able to show longevity